

Workplace Etiquette Lesson:

Question 1

A coworker returns from lunch and heats up leftover salmon in the shared office microwave. No one says anything but several people visibly react to the smell. Which workplace etiquette rule was violated?

A. The touching rule, since handling other people's food without permission is a boundary violation
B. The food rule, since microwaving fish in a shared workplace kitchen is specifically prohibited
C. The space rule, since using shared appliances for personal meals without asking is inconsiderate
D. The hygiene rule, since strong food odors on clothing can affect a person's professional appearance

(Answer: B) Explanation: The lesson explicitly states that microwaving fish in the workplace kitchen is not acceptable etiquette.

Question 2

A manager notices a female employee's abdomen looks larger than usual and asks "when are you due?" The employee is not pregnant. Beyond being embarrassing, which etiquette rule did the manager violate?

A. The comments rule, since you cannot mention a possible pregnancy until the person has made an open announcement or told you personally
B. The touching rule, since gesturing toward someone's body while asking about pregnancy crosses a physical boundary
C. The space rule, since commenting on a coworker's appearance invades their personal and professional space
D. The dating rule, since managers are held to a higher standard of conduct with employees than peers are with each other

(Answer: A) Explanation: The lesson states you cannot comment on or ask about a possible pregnancy until the person has publicly announced it or personally told you.

Question 3

A new employee walks into their manager's closed office to drop off a document while the manager is away at a meeting. Based on the lesson, why is this a problem even though no one is inside?

A. Entering a closed office without permission violates the space rule about respecting others' belongings and boundaries
B. It violates the touching rule since opening a door that

belongs to someone else is a form of uninvited physical contact C. It is only a problem if the employee removes something from the office rather than simply leaving something behind D. It is not a problem as long as the employee does not look at anything on the desk while inside

(Answer: A) Explanation: The lesson asks whether you can enter someone's closed office when they are not there as a prompt for students to consider respecting others' space and belongings.

Question 4

An employee tells a coworker "nice haircut" when passing in the hallway. A second employee compliments a coworker's arms and says they look like they have been working out. Which of these is acceptable and which violates workplace etiquette?

A. Both are acceptable since they are both positive comments intended to make coworkers feel good B. Both violate etiquette since any comment about a coworker's physical appearance crosses a professional boundary C. The haircut comment is acceptable but complimenting body features violates the comments rule D. The workout comment is acceptable since fitness is a professional topic but hair comments are too personal

(Answer: C) Explanation: The lesson specifically says you can comment on haircuts, necklaces, and earrings but cannot compliment body features.

Question 5

A coworker sits down next to a colleague and begins massaging their shoulders while they work, intending it as a friendly gesture. Which rule does this violate and why is intent irrelevant?

A. The hygiene rule, since physical contact at work raises concerns about cleanliness and personal boundaries B. The touching rule, since no touching beyond a handshake is permitted regardless of the intention behind it C. The comments rule, since physical gestures in the workplace are treated the same as verbal commentary D. The space rule, since initiating uninvited physical contact violates a coworker's personal workspace

(Answer: B) Explanation: The lesson states that no touching is permitted at work except for handshakes, with no exception made for friendly or well-intentioned contact.

Question 6

An employee's shirt buttons gap open slightly at the chest when they sit down. They do not notice. Which clothing rule are they violating and what does the lesson suggest as a fix?

A. The tightness rule, since a gaping shirt means the fabric is being stretched beyond its intended fit B. The low-cut rule, since any visible skin at the neckline area is considered inappropriate for professional settings C. The button gap rule, since gaps between front shirt buttons should be fixed by wearing a white undershirt or tank top underneath D. The skin rule, since visible skin anywhere on the torso including through gaps constitutes an etiquette violation

(Answer: C) Explanation: The lesson specifically addresses gaps between front shirt buttons and recommends wearing a white t-shirt or tank top underneath to fix the issue.

Question 7

A supervisor and a direct report begin dating. According to the lesson, why is this a specific concern beyond general workplace relationship etiquette?

A. Dating a direct report is always illegal and constitutes an automatic HR violation regardless of the circumstances B. A supervisor dating someone who works for them creates a power imbalance that raises ethical and professional concerns C. The lesson states that no coworkers can date each other under any circumstances in a professional environment D. Supervisors are prohibited from any personal relationships with employees including friendships outside of work

(Answer: B) Explanation: The lesson asks whether a boss can date anyone who works for them as a separate question from whether peers can date, implying the power dynamic makes this a distinct and more serious concern.

Question 8

An employee microwaves popcorn in the break room. Within seconds the entire office fills with the smell. According to the lesson, what should they have been prepared to do before making the popcorn?

A. Use the microwave only during lunch hours when most colleagues are away from their desks B. Ask their manager's permission before using the microwave for any food with a

strong smell C. Share the popcorn with everyone in the office who can smell it D. Eat the popcorn immediately in the kitchen so the smell does not spread to the main office area

(Answer: C) Explanation: The lesson states you should not microwave popcorn unless you are prepared to share it with everyone who can smell it.

Question 9

Two employees at the same level with no supervisory relationship over each other decide to start dating. What does the lesson say they should do?

A. They should keep the relationship private since workplace romances create distractions that harm team productivity B. They should create a record with Human Resources to formally document the relationship C. They should inform their direct managers but are not required to take any further formal steps D. Dating between peers is entirely acceptable and requires no formal action or disclosure of any kind

(Answer: B) Explanation: The lesson states that even peer coworkers who date should create a record with Human Resources.

Question 10

An employee calls a female coworker "Honey" when asking her a question in a meeting. The employee uses this nickname with several coworkers and considers it friendly. Which rule does this violate?

A. The space rule, since using nicknames in a group setting puts pressure on coworkers to respond positively in front of others B. The comments rule, since calling coworkers cutesy names like those listed in the lesson is not acceptable regardless of intent C. The touching rule, since verbal familiarity is treated the same as physical familiarity under workplace etiquette standards D. It does not violate any rule since the nickname is gender-neutral and used consistently across coworkers

(Answer: B) Explanation: The lesson explicitly lists names like "Dear" and "Darling" as examples of cutesy names that cannot be used for coworkers, and "Honey" falls into the same category.

Question 11

An employee in an open office environment is on a personal phone call and speaks at a normal conversational volume. Several nearby colleagues can hear every word. Which etiquette principle applies here?

A. The space rule, since in open office environments you should assume everyone around you is listening B. The food rule, since conversations about personal topics in shared spaces are treated like strong odors that affect everyone nearby C. The touching rule, since projecting your voice into another person's workspace is a form of uninvited contact D. This is not an etiquette issue since normal conversational volume is always acceptable in a workplace setting

(Answer: A) Explanation: The lesson specifically states to be mindful of noise levels in open office environments and to assume everyone is listening.

Question 12

An employee showers daily, brushes their teeth, and wears clean clothes but forgets to check the back of their hair before leaving for work. Their hair is noticeably disheveled at the back all day. Which hygiene rule did they overlook?

A. The hair washing rule, since disheveled hair indicates the hair was not properly washed that morning B. The mirror rule, since the lesson specifically says to look at the back of your hair in a mirror before leaving C. The deodorant rule, since full personal grooming includes checking all areas of appearance not just what is visible in front D. The beard maintenance rule, since this applies broadly to all facial and head hair not just beard-specific grooming

(Answer: B) Explanation: The lesson specifically instructs employees to brush their hair and check the back of it in a mirror before arriving at work.

Question 13

An employee wears a fitted shirt to work that is not transparent and covers all skin appropriately but outlines the body closely in both front and back. Which clothing rule is being violated?

A. The gap rule, since form-fitting clothes create visible gaps at the buttons when stretched across the body B. The skin rule, since tight clothing that reveals body shape is treated the same as clothing that exposes skin directly C. The tightness rule, since clothes should not be so tight that the outline of anything is visible in the front or back D. The low-cut rule,

since tight shirts tend to shift downward and risk exposing the neckline beyond what is appropriate

(Answer: C) Explanation: The lesson states that clothes should not be so tight that you can see the outline of anything in the front or back.

Question 14

A coworker learns that a colleague recently got a new hairstyle and says "that cut looks really nice on you." A second coworker sees the same person and says "you look so much better now, your face shape really suits short hair." Which comment crosses the line and why?

A. Both are acceptable since they both refer to the hair and not to any other body part B. The first is fine but the second shifts from commenting on the haircut to commenting on physical body features like face shape C. Both cross the line since any remark that draws attention to a coworker's appearance is prohibited under the comments rule D. The second is acceptable since it pairs a body comment with a positive observation about the haircut itself

(Answer: B) Explanation: The lesson permits comments about haircuts but prohibits commenting on any part of a person's body, and remarking on face shape crosses that line.

Question 15

An employee arrives at a coworker's open office door and sees them sitting at their desk with headphones on and deeply focused on work. Based on the lesson's principles around space and time, what should the employee consider before walking in?

A. An open door always signals that interruptions are welcome so the employee should walk in and get their colleague's attention B. Headphones are a modern equivalent of a closed door and the employee should send a message instead of interrupting C. Being respectful of others' time means recognizing visible cues like headphones before deciding whether to interrupt D. The employee can enter since the open door rule applies regardless of what the coworker is doing inside

(Answer: C) Explanation: The lesson states to be respectful of others' time and space, which extends to recognizing when a coworker has signaled they do not want to be interrupted even with an open door.

Negotiation Skills:

Question 1

Before entering a salary negotiation, a candidate decides they want \$70,000, would be thrilled with anything above \$75,000, and would not accept anything below \$65,000. Which negotiation step does this preparation represent?

A. Doing research, since identifying a salary range requires understanding what the market is paying
B. Creating a win-win, since knowing your floor ensures the other party also benefits from the final number
C. Setting goals, since you must know what you want, what would astound you, and the least you would accept before starting
D. Establishing negotiating power, since having clear numbers in mind reduces your desperation during the conversation

(Answer: C) Explanation: The lesson defines goal-setting as knowing what you want, what would astound you, and the minimum you would accept before negotiations begin.

Question 2

A job seeker negotiating salary starts by saying "I'm looking for around \$80,000" when they would actually be happy with \$72,000. According to the lesson, why is starting higher strategic?

A. Starting high signals confidence which psychologically pressures the employer to meet the number rather than negotiate
B. If you start with the number you would actually accept, the negotiation can only move lower from there
C. Employers always counter below any opening number so starting high ensures the final number lands at your true goal
D. Starting high gives you room to offer concessions on other benefits while still hitting your salary target

(Answer: B) Explanation: The lesson states that if you start with the middle number you know you would agree to, it can only go lower, so starting higher protects your actual target.

Question 3

A candidate receives a job offer and immediately asks "what's the salary?" before the employer has mentioned a number. According to the lesson, what disadvantage did they just create for themselves?

A. Asking about salary too early signals that money is the candidate's only motivation which weakens their negotiating position
B. The person who names a number first usually has to compromise down the most, putting the candidate at a disadvantage
C. Asking first forces the employer to anchor high, leaving the candidate no room to negotiate upward from the offer
D. The question signals desperation which shifts negotiating power entirely to the employer before talks have begun

(Answer: B) Explanation: The lesson states that the people who start with a number are usually the ones who have to compromise down the most.

Question 4

A job candidate is currently employed, has two other interviews in progress, and has no urgent need to leave their current role. According to the lesson, how does this situation affect their negotiating power?

A. It weakens their position since employers prefer candidates who are fully committed to the new role
B. It has no effect since negotiating power is determined entirely by the skills a candidate brings to the table
C. It strengthens their position by removing desperation from their stance and giving them leverage to walk away
D. It weakens their position because having other offers makes the employer feel the candidate is not serious about the role

(Answer: C) Explanation: The lesson states that currently working elsewhere and having other offers in progress takes the desperation away from your negotiating stance.

Question 5

A candidate is offered a new job at the same salary they currently earn. The lesson says you should get a certain percentage more than your current salary for a job change to be worthwhile. What is that percentage?

A. 10% B. 25% C. 20% D. 15%

(Answer: D) Explanation: The lesson states you should get 15% more than you are currently making for a job change to be worthwhile unless you are leaving to escape a bad situation.

Question 6

In the car roleplay, Person A wants a red car with a moonroof and leather seats but is willing to settle for fabric seats and no moonroof. Person B gets a bonus for selling the white car with fabric seats. What negotiation concept does reaching a deal on the white car with fabric seats illustrate?

A. Goal setting, since both parties identified their minimum acceptable outcome before the negotiation began
B. Research, since Person B understood the supply and demand situation for the white car on the lot
C. Creating a win-win, since Person A gets a car within budget and Person B earns a bonus by offloading the difficult inventory
D. Negotiating power, since Person B held more leverage by having a car that met Person A's minimum requirements

(Answer: C) Explanation: The lesson defines creating a win-win as finding an outcome where each party gets something they want, which this scenario achieves for both the buyer and the seller.

Question 7

A job candidate researches the role on Glassdoor, asks friends in the industry about typical pay, and checks current unemployment rates before their negotiation. Which step of the lesson are they executing?

A. Setting goals, since external data helps define what number would be astounding versus acceptable
B. Doing research, since understanding industry pay, supply and demand, and economic conditions informs your position
C. Creating a win-win, since knowing the employer's market helps identify what concessions they might be willing to offer
D. Establishing advantage points, since research is the tool that removes desperation from your negotiating stance

(Answer: B) Explanation: The lesson lists checking Glassdoor, asking friends, and understanding current supply and demand as the core activities of the research step.

Question 8

Person A in the roleplay can pay up to \$45,000 in cash but up to \$47,000 if financing is available. Person B gets a bonus if the buyer uses financing. A deal is struck at \$46,500 with financing. Which negotiation principle made this outcome possible?

A. Research, since both parties understood the financing options available through the dealership before talks began B. Waiting for the other party to name a number first, since the seller opened with \$50,000 which anchored the negotiation C. Understanding what the other party wants and finding a structure that gives both sides something they need D. Setting goals, since both parties knew their floors and ceilings which naturally produced a number in the overlap zone

(Answer: C) Explanation: The lesson asks how well you know the other party's position and what they want, and this deal only works because both parties' bonus and budget needs aligned around financing.

Question 9

A candidate negotiates salary but the employer says the base pay is fixed. According to the lesson, what should the candidate do rather than walking away?

A. Accept the fixed salary since base pay is the most important component of any compensation package B. Ask the employer to explain in writing why the salary cannot be moved before considering the offer further C. Negotiate on other items like bonus percentage, stock awards, flex schedule, or starting bonus instead D. Use the fixed salary as evidence that the company is not serious about the role and consider withdrawing

(Answer: C) Explanation: The lesson lists many other negotiable items beyond salary including yearly bonus, profit sharing, stock awards, time off, and flex schedule.

Question 10

A freelancer is hired for a project by a client who desperately needs the work done in three days and has no one else available. According to the lesson's framework, what does this situation mean for the freelancer's negotiating power?

A. The freelancer has low power since the tight deadline limits their ability to deliver quality work and ask for more B. The freelancer has high power since the client's desperation and lack of alternatives shifts leverage to the supplier C. Both parties have equal power since the urgency creates pressure on the freelancer to deliver just as much as on the client to

pay D. The freelancer has no negotiating power since agreeing to tight deadlines signals willingness to accept unfavorable terms

(Answer: B) Explanation: The lesson states that understanding the other party's desperation and lack of alternatives is a key component of assessing how much negotiating power you hold.

Question 11

A candidate accepts a job offer without negotiating because they are afraid of seeming greedy. According to the lesson's principle about who names a number first, what likely happened?

A. The candidate made a smart choice since accepting quickly demonstrates enthusiasm and commitment to the role B. The employer named the first number so the candidate likely left money on the table by not countering C. The outcome is the same as negotiating since employers always offer their best number upfront to attract top talent D. The candidate avoided disadvantage since anyone who negotiates salary risks having the offer rescinded

(Answer: B) Explanation: The lesson states that the person who names the first number usually has to compromise the most, meaning an employer's opening offer is rarely their best one.

Question 12

Two companies are negotiating a contract. Company A urgently needs the deal to close this quarter or it will miss its revenue targets. Company B has three other potential clients lined up. Who holds more negotiating power and why?

A. Company A holds more power since as the buyer it controls whether the deal happens at all B. Both hold equal power since contract negotiations always require mutual agreement to proceed C. Company B holds more power since Company A's desperation and Company B's alternatives remove urgency from Company B's position D. Company A holds more power since missing a revenue target gives it stronger motivation to reach an agreement quickly

(Answer: C) Explanation: The lesson states that having alternatives and lacking desperation creates negotiating advantage, which describes Company B's position exactly.

Question 13

A job candidate does their research and discovers that their specific technical skill set is extremely rare and only two other people in the region have it. How should this information affect their negotiation approach?

A. They should accept whatever the employer offers since rare skills attract more scrutiny during salary discussions
B. They should lower their initial ask to close the deal quickly before the employer finds one of the two other candidates
C. They should use this as leverage since limited supply of their skills shifts market power in their favor
D. The information is irrelevant since salary is determined by the role's budget rather than the candidate's scarcity

(Answer: C) Explanation: The lesson specifically asks whether your job skills are highly in demand with a limited supply of people who have them as a key research question because scarcity increases your negotiating power.

Question 14

In the car roleplay, Person B wants \$50,000 but can go as low as \$40,000. Person A wants to pay \$39,000 but can go up to \$45,000 in cash or \$47,000 with financing. What is the only price range where a deal is actually possible?

A. \$39,000 to \$50,000 since that spans both parties' stated preferences
B. \$45,000 to \$50,000 since Person B cannot go below \$40,000 and Person A cannot go above \$45,000 in cash
C. \$40,000 to \$45,000 in cash or up to \$47,000 with financing since that is where both parties' ranges overlap
D. No deal is possible since Person A's maximum cash offer of \$45,000 is above Person B's floor of \$40,000

(Answer: C) Explanation: A deal requires both parties' acceptable ranges to overlap, and the only zone where both can say yes is between \$40,000 and \$45,000 in cash or up to \$47,000 with financing.

Question 15

A candidate is offered a role they are genuinely excited about but the salary is only 5% above what they currently earn. The lesson says 15% is the threshold for a worthwhile move. What exception does the lesson acknowledge?

A. The 15% rule does not apply to entry-level roles since career development matters more than compensation at that stage B. The 15% rule can be ignored if the new role offers significantly better benefits, bonus structure, or equity compensation C. The 15% threshold does not apply if you are leaving a job because you really want to get away from the current situation D. The 15% rule is a guideline not a rule so any percentage increase can be justified if the candidate values the opportunity

(Answer: C) Explanation: The lesson states you should get 15% more unless you are leaving a job because you really want to get away from it, making the desire to escape a toxic situation the one explicit exception.

Personal Finance taxes paychecks:

Question 1

A high school student earns \$12,000 from a part-time job in 2025. Does this student need to file their own federal tax return?

A. Yes, because any earned income from wages requires a federal filing regardless of the amount B. No, because students under 18 are always filed under their parents' tax return C. No, because the student's earnings fall below the \$15,750 filing threshold for single individuals in 2025 D. Yes, because part-time wage income is treated differently than other income types under IRS rules

(Answer: C) Explanation: The lesson states that for the 2025 tax year single individuals must file if they earn \$15,750 or more, and \$12,000 falls below that threshold.

Question 2

A high school student earns \$20,000 in wages in 2025 and their parents want to claim them as a dependent on their own return. Can the parents still claim the student as a dependent even though the student must file their own return?

A. No, because a student who files their own return cannot simultaneously be claimed as a dependent B. Yes, because earning income does not affect dependent status as long as the student does not pay more than half of their own support C. No, because earning over \$15,750 means the student is considered financially independent by IRS standards D. Yes, but only if the student's return shows a tax refund rather than a tax liability

(Answer: B) Explanation: The lesson states that a student can still be claimed as a dependent by parents provided the child does not pay more than half of their own support.

Question 3

A pay stub shows gross earnings of \$2,500 and net pay of \$1,875. What does the \$625 difference represent?

- A. The amount the employer contributed to the employee's retirement fund on their behalf
- B. The employee's take-home pay after all deductions have been removed
- C. The total amount withheld for taxes and other costs from the employee's gross earnings
- D. The difference between the employee's hourly rate and their overtime rate for the period

(Answer: C) Explanation: The lesson defines a pay stub as showing what you earned and how much you paid in taxes and other costs, and the difference between gross and net is the total of those deductions.

Question 4

Washington State does not require residents to file a state income tax return. What does this tell you about Washington compared to most other states?

- A. Washington residents pay higher federal taxes to compensate for the lack of a state income tax
- B. Washington is one of the few states with no state income tax, so residents only need to file a federal return
- C. Washington collects income tax automatically through payroll so no separate filing is required
- D. Washington only taxes property and sales but will add income tax once its population exceeds a certain threshold

(Answer: B) Explanation: The lesson notes that in addition to a federal return you may also need to file a separate state return, and asks whether Washington requires one, implying it does not have a state income tax.

Question 5

The federal government divides spending into mandatory and discretionary categories. Which of the following is most likely an example of mandatory spending based on the lesson's framing?

A. Funding for national parks and federal museums B. The federal military and defense budget C. Social Security or Medicare payments that are legally required regardless of annual budget decisions D. Foreign aid sent to allied countries during international crises

(Answer: C) Explanation: Mandatory spending refers to programs the government is legally obligated to fund regardless of the annual budget process, and Social Security and Medicare are the classic examples.

Question 6

A worker's pay stub shows federal income tax withheld, state income tax withheld, and sales tax paid that week. Their landlord also bills them for a property tax portion. How many of the four main tax types from the lesson are represented here?

A. Two, federal and state income taxes are the only types shown on a pay stub B. Three, since sales tax appears on receipts not pay stubs so only three of the four are present C. Four, since federal income tax, state income tax, sales tax, and property tax are all represented D. One, since a pay stub only shows income tax withholding and the other taxes are separate documents

(Answer: C) Explanation: The lesson lists income, property, sales, federal, and state as types of taxes, and this scenario touches on all four major categories the worker encounters.

Question 7

A student earning \$16,000 in wages in 2025 is claimed as a dependent on her parents' return. She pays \$4,000 toward her own living expenses while her parents cover the remaining \$12,000. Can her parents still claim her as a dependent?

A. No, because she earns enough to file her own return which makes her financially independent B. No, because paying any portion of her own support disqualifies her from being claimed as a dependent C. Yes, because she does not pay more than half of her own support so the dependency requirement is met D. Yes, but only if she files her own return and does not claim herself as an independent filer

(Answer: C) Explanation: The lesson states the dependency rule requires that the child not pay more than half of their own support, and \$4,000 out of \$16,000 in total support is well under half.

Question 8

An employer pays a worker \$18 per hour and the worker works 40 hours. Before any deductions the worker earned \$720. What term describes this \$720 figure on a pay stub?

A. Net pay, since it represents the amount the worker actually receives after the employer processes payroll
B. Discretionary income, since it is the earnings available before any mandatory expenses are subtracted
C. Gross earnings, since it is the total amount earned before taxes and other deductions are removed
D. Take-home pay, since it reflects the full value of the labor provided during that pay period

(Answer: C) Explanation: Gross earnings is the total amount earned before any deductions, which is what the \$720 represents before taxes and other costs are taken out.

Question 9

For the 2019 median household salary of \$68,703, approximately \$8,288 was paid in federal income taxes. A student uses the tax receipt calculator and sees that a portion went to defense and another to Social Security. Which spending categories do these represent?

A. Both are mandatory spending since the government is legally required to fund both defense and Social Security annually
B. Defense is discretionary spending and Social Security is mandatory spending since their funding structures differ
C. Both are discretionary since Congress votes on both categories during the annual budget process
D. Social Security is discretionary and defense is mandatory since military spending is constitutionally required

(Answer: B) Explanation: The lesson asks students to identify one mandatory and one discretionary spending example, and defense funding is voted on annually while Social Security is a legally obligated program.

Question 10

A student files a federal tax return for the first time. According to the lesson, what documents and information would they need to gather before filing?

A. Only their W-2 form since that is the sole document required for a simple first-time return
B. A checklist of items the lesson links to, including documents related to income

earned and taxes already withheld C. Their parents' prior year return since first-time filers must reference a parent's return to establish their filing history D. Only their pay stubs since the IRS does not require official forms for students filing for the first time

(Answer: B) Explanation: The lesson links to a checklist of what you need to file your taxes, indicating that multiple documents and pieces of information are required beyond just one form.

Question 11

A worker lives in a state with both a federal and a state income tax. They move to Washington State. What changes about their tax filing obligations?

A. They no longer pay federal income tax since Washington has a special agreement with the IRS for its residents B. They still file a federal return but no longer need to file a separate state income tax return C. They file both returns the same as before since all states require a state return regardless of whether they have income tax D. They only file a state return since Washington's tax system replaces the need for a federal filing

(Answer: B) Explanation: The lesson notes that Washington does not require residents to file a state tax return, so moving there eliminates the state filing obligation while the federal return remains required.

Question 12

The Mary Poppins minimum wage video is shown in the lesson. Based on the lesson's broader context around paychecks and taxes, what concept is the video most likely used to illustrate?

A. The importance of reading a pay stub carefully to catch errors in withholding amounts B. How minimum wage affects take-home pay and the real value of earnings after deductions C. The difference between mandatory and discretionary government spending funded by worker taxes D. Why workers in Washington State have different filing requirements than workers in other states

(Answer: B) Explanation: The lesson places the minimum wage video directly in the context of paychecks and what workers actually take home, connecting wage levels to the real earnings workers see on their pay stubs.

Question 13

A student earned \$15,750 exactly in 2025. Based on the lesson's filing threshold, must they file a federal return?

A. No, because the threshold requires earning more than \$15,750 and this amount equals but does not exceed it B. Yes, because reaching the exact threshold amount triggers the filing requirement C. No, because the IRS allows a grace period for earners who land exactly on the threshold in their first filing year D. Yes, but only if the student also had state taxes withheld in addition to federal withholding

(Answer: B) Explanation: The lesson states single individuals under 65 must file if they earn \$15,750 or more, and earning exactly \$15,750 meets the threshold.

Question 14

A pay stub shows the following line items: federal income tax withheld, Social Security tax, Medicare tax, and health insurance premium. Which of these is a tax and which is a different type of deduction?

A. Federal income tax is the only real tax and the others are optional benefit deductions the employee controls B. Federal income tax, Social Security, and Medicare are all taxes while the health insurance premium is a benefit deduction C. All four are taxes since any mandatory deduction taken before net pay is calculated qualifies as a tax D. Social Security and Medicare are retirement savings not taxes and only federal income tax counts as a true tax

(Answer: B) Explanation: Federal income tax, Social Security, and Medicare are government-mandated taxes while health insurance is a benefit deduction that varies by employer and employee election.

Question 15

A student reviews their tax receipt and sees that the largest share of their \$8,288 in federal taxes went to health care programs. They wish more had gone to education instead. What type of spending would an increase in federal education funding represent?

A. Mandatory spending, since the federal government is legally required to fund public education at the federal level B. Discretionary spending, since education funding is voted on annually as part of the congressional budget process C. Transfer payments, since

education spending redistributes tax revenue from workers to students and schools D. Entitlement spending, since all citizens are entitled to public education under constitutional law

(Answer: B) Explanation: The lesson asks students to identify discretionary spending examples, and federal education funding is a classic example of discretionary spending that Congress appropriates annually.

Personal Finance checking and savings:

Question 1

Your FDIC insurance covers deposits up to \$250,000 at a single bank. You have \$300,000 in one checking account at one bank. How much of your money is at risk if the bank fails?

A. Nothing, since FDIC coverage automatically expands when a single account exceeds the limit B. \$250,000, since the insurance only covers the amount above the limit and protects the rest C. \$50,000, since only the amount exceeding the \$250,000 limit is uninsured D. \$300,000, since bank failure voids all FDIC protections for accounts above the threshold

(Answer: C) Explanation: FDIC insurance covers up to \$250,000 per depositor per bank, so the \$50,000 above that limit is unprotected.

Question 2

A bank offers "overdraft protection" on a checking account. A customer assumes this means overdrafts are free and the bank will cover any shortfall as a service. What is misleading about this assumption?

A. Overdraft protection typically comes with fees so it protects the transaction from failing but still charges the customer B. Overdraft protection is free but only applies to debit card purchases and not to checks or ACH transfers C. Overdraft protection prevents all overdraft fees by automatically declining any transaction that would overdraw the account D. Overdraft protection is not available on checking accounts and only applies to savings account overdrafts

(Answer: A) Explanation: The lesson flags the term overdraft protection as misleading because it sounds like a free safety net when it actually still results in fees charged to the customer.

Question 3

A student checks their bank statement and notices a \$35 charge labeled "NSF fee" that they do not recognize. What most likely caused this charge?

A. The bank charged a monthly maintenance fee for keeping the account open with a low balance
B. The student used an out-of-network ATM and was charged by both their bank and the ATM operator
C. The bank charged a fee for a paper statement instead of electronic delivery
D. The student spent more than their account balance and the bank charged them for the shortfall

(Answer: D) Explanation: An NSF (non-sufficient funds) fee is charged when a transaction is attempted but the account does not have enough money to cover it, which is a form of overdraft fee.

Question 4

A survey asks Americans how they would cover a \$400 emergency expense. More respondents say they would use a credit card than say they would use a bank loan. What does this suggest about which financial product Americans have broader access to?

A. Bank loans are more accessible since they offer larger amounts than credit cards can provide
B. Credit cards are more accessible since more Americans can use them to cover an unexpected expense than can secure a bank loan
C. Both are equally accessible since the survey results simply reflect personal preference rather than availability
D. Neither is accessible since the majority of Americans have no way to cover a \$400 emergency at all

(Answer: B) Explanation: The lesson asks students to use this data to hypothesize which product more Americans have access to, and the higher credit card response rate indicates wider access.

Question 5

You signed up for overdraft protection at your bank two years ago. You now want to remove it from your account. Based on the lesson, can you opt out?

A. No, because overdraft protection is a permanent feature of most checking accounts that cannot be removed once added
B. No, because federal regulations require all checking accounts to carry overdraft protection as a consumer safeguard
C. Yes, because

the lesson indicates that overdraft protection can be opted out of after signing up D. Yes, but only if your account has not had an overdraft incident in the past 12 months

(Answer: C) Explanation: The lesson includes a true or false question about whether you cannot opt out once enrolled, with the answer being false, meaning you can opt out.

Question 6

An ATM skimmer is installed on a machine you use to withdraw cash. You enter your PIN and complete the transaction normally. What has the skimmer captured?

A. Your card information and PIN which can be used to clone your card and access your account fraudulently B. Only your account number since PINs are encrypted at the hardware level and cannot be intercepted by skimmers C. Your transaction history from that ATM visit which can be used to estimate your balance and spending patterns D. Nothing useful since modern chip cards prevent skimmers from reading any meaningful account data

(Answer: A) Explanation: ATM skimmers capture card data and PIN information by intercepting the input at the machine, which gives thieves everything they need to access or clone the account.

Question 7

A gig economy worker plays the Uber game and makes a series of decisions about which rides to accept, how many hours to work, and whether to rent or own a car. After several rounds they end up barely covering their expenses. What does this simulation most directly illustrate?

A. That gig economy workers always lose money because the platforms take too large a share of every fare B. That owning a car is always more profitable than renting one in gig economy work C. That gig workers should always maximize hours worked to ensure sufficient income above expenses D. That gig economy income involves real tradeoffs and uncertainty that make financial stability difficult to achieve

(Answer: D) Explanation: The Uber game is designed to show the complexity and unpredictability of gig work by making students experience the financial decisions and their consequences firsthand.

Question 8

You review your monthly bank statement and notice a charge from a merchant you do not recognize dated three weeks ago. What should you do?

A. Ignore it since unfamiliar merchant names are common because companies often process payments under a different name than their store B. Report it to your bank immediately since unrecognized charges could indicate fraud and reviewing statements regularly is exactly how you catch this C. Wait one more month to see if the charge appears again before deciding whether it was a mistake D. Dispute it only if the amount exceeds \$50 since banks typically do not investigate small unauthorized charges

(Answer: B) Explanation: The lesson emphasizes reviewing bank statements regularly so that errors, fees, and fraudulent charges can be identified and addressed quickly.

Question 9

A cartoon shows a person walking past a coffee shop, a clothing store, and a restaurant, spending a little at each one, and then being shocked at their empty bank account at the end of the month. Which savings challenge does this best illustrate?

A. The difficulty of tracking small frequent purchases that individually seem harmless but collectively drain savings B. The problem of not having a checking account since cash spending is harder to control than card spending C. The danger of overdraft fees triggered by multiple small transactions made close together on the same day D. The challenge of living in an area with too many spending temptations rather than a saving-friendly environment

(Answer: A) Explanation: The lesson uses cartoons to analyze the psychological and behavioral challenges to saving, and this scenario illustrates how small habitual spending prevents money from being set aside.

Question 10

Washington State does not have a state income tax. A student in Washington earns \$9,000 from a summer job and their employer withholds federal income tax from each paycheck. At the end of the year, what happens when they file their federal return?

A. They owe additional federal taxes since withholding is only an estimate and summer jobs are under-withheld by default B. They do not need to file since \$9,000 falls below the

\$15,750 threshold and no withholding occurred on their paychecks C. They must file a state return in addition to a federal return since employer withholding triggers a mandatory state filing D. They may receive a federal refund if more was withheld from their paychecks than their actual tax liability requires

(Answer: D) Explanation: When more is withheld from paychecks than the worker actually owes in taxes, filing a return results in a refund of the overpayment.

Question 11

A bank charges a \$12 monthly maintenance fee unless the account holder maintains a minimum balance of \$1,500. A student keeps an average balance of \$800. How much in fees will they pay over a year?

A. \$0, since monthly maintenance fees are prohibited under the 2024 overdraft legislation referenced in the lesson B. \$12, since the fee is only charged once per year when the bank conducts its annual account review C. \$144, since the \$12 fee is charged every month the balance falls below the minimum threshold D. \$84, since the fee is waived for the months when the student's balance comes closest to \$1,500

(Answer: C) Explanation: A monthly fee of \$12 charged every month for 12 months equals \$144 in annual fees for an account that never meets the minimum balance requirement.

Question 12

The NCUA insures deposits at credit unions the same way FDIC insures deposits at banks, both up to \$250,000. A person has \$200,000 at a bank and \$200,000 at a credit union. How much of their total money is insured?

A. \$250,000, since FDIC and NCUA coverage cannot be combined and only the larger institution's limit applies B. \$400,000, since each institution insures up to \$250,000 and both balances fall under their respective limits C. \$250,000, since the total across both institutions is \$400,000 which exceeds the combined maximum of \$250,000 D. \$200,000, since NCUA insurance does not apply to individuals who also hold a bank account covered by FDIC

(Answer: B) Explanation: FDIC and NCUA coverage apply separately at each institution so both \$200,000 balances are fully insured for a total of \$400,000 covered.

Question 13

The 2024 legislation referenced in the lesson changed the rules around overdraft fees. Based on the lesson's framing, what direction did this change most likely go?

A. It increased the maximum overdraft fee banks could charge to reflect inflation since the original cap was set decades ago B. It made overdraft protection mandatory for all checking accounts to ensure consumers are never left without a safety net C. It required banks to disclose overdraft fees more clearly on statements but did not change the fee amounts themselves D. It limited or reduced overdraft fees that banks can charge consumers, providing stronger protection against excessive fees

(Answer: D) Explanation: The lesson presents overdraft fees as a consumer protection issue and mentions 2024 legislation in that context, indicating the change moved toward limiting fees rather than expanding them.

Question 14

A friend tells you they keep all their savings in cash at home because they do not trust banks. Based on what the lesson covers about FDIC insurance, what is the key financial risk they are taking?

A. Cash kept at home is not insured against loss from theft, fire, or disaster while bank deposits are protected up to \$250,000 B. Keeping cash at home means losing the interest income that savings accounts generate on deposited funds C. Home-stored cash is subject to federal taxation in a way that bank deposits are not since banks report interest earnings D. Banks provide fraud protection on all transactions which home cash storage cannot replicate for any spending activity

(Answer: A) Explanation: FDIC insurance protects bank deposits up to \$250,000 against bank failure, but cash kept at home has no such protection against physical loss.

Question 15

A student wants to start saving money but finds they spend everything in their checking account before the end of the month. Based on the lesson's emphasis on savings challenges, which strategy most directly addresses this problem?

A. Switching from a checking account to a savings account for all spending so that withdrawals are limited B. Reviewing the bank statement weekly to identify which

purchases are unnecessary and can be cut going forward C. Automatically transferring a set amount to a separate savings account each payday before spending begins D. Applying for overdraft protection so the account never goes negative while the student builds better spending habits

(Answer: C) Explanation: Automating a transfer to savings immediately at payday removes the money before it can be spent, directly solving the problem of spending everything before saving anything.